ORACLE | RESEARCH EVOLUTION

FIN 439 / Project 1 - Oracle Corporation (ORCL)
Prepared: October 19, 2026
Decision: WATCH / DEFER initiating a new position

Sections in this combined PDF

1. **Edition A source reproduction:** An unchanged archived Markdown file *rendered to PDF* (original bytes preserved separately). The actual Brightspace-submitted PDF or original receipt is not independently verified.
2. **Edition B - AI-assisted research evolution:** Methods, source updates, quantitative changes and conditional committee judgment.
3. **A-to-B / no-change evidence table** with dated correction addendum and provenance instructions.

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Project 1 Edition A - Oracle Corporation (ORCL)

1. Current primary filing

- **Entity:** Oracle Corporation (NYSE: ORCL; CIK 0001341439)
- **Primary filing:** Form 10-K
- **SEC accession number:** 0001193125-26-277521
- **Reporting period:** Fiscal year ended May 31, 2026
- **Filing date:** June 22, 2026
- **Currency and units:** U.S. dollars; financial statements are in millions except per-share data
- **SEC filing index:** EDGAR filing detail
- **Primary filing:** Oracle FY2026 Form 10-K

2. Filing evidence for the valuation setup

- **Diluted-share evidence:** Fiscal 2026 weighted-average common shares were 2,860 million. Employee stock plans added a 54 million dilutive effect, producing **2,914 million diluted weighted-average common shares**. Diluted EPS attributable to common shareholders was **$5.83**. The filing also reports **2,880,471,000 common shares outstanding as of June 12, 2026**. For a point-in-time equity valuation, I would begin with the June 12 share count and then separately model dilutive securities; I would not substitute the weighted-average EPS denominator without explanation. SEC EPS table
- **Cash: $31,289 million** of cash and cash equivalents at May 31, 2026. Marketable securities were another **$605 million**. I keep marketable securities separate unless the valuation convention explicitly treats them as excess cash.
- **Debt:** The filing reports **$130,105 million** of future principal payments for all borrowings at May 31, 2026. This is the cleanest disclosed gross-principal debt input for an initial enterprise-to-equity bridge. A later valuation should reconcile principal to balance-sheet carrying value and decide whether lease liabilities or other debt-like claims belong in adjusted debt.
- **Operating-value driver:** Fiscal 2026 **cloud infrastructure revenue was $18,101 million**, up from $10,234 million in fiscal 2025 (approximately **76.9% growth**). Total cloud revenue was $33,989 million and total company revenue was $67,357 million. Cloud-infrastructure growth is a central value driver because it can expand recurring revenue, but it must earn adequate returns on the data-center investment required to produce it.

- **Capital-intensity counterevidence:** Fiscal 2026 capital expenditures were **$55,663 million**, up from $21,215 million, while operating cash flow was $31,977 million and reported free cash flow was **negative $23,686 million**. This is consequential to the thesis because rapid cloud growth does not automatically create equity value when reinvestment needs are exceptionally high.

Unless linked to a more specific SEC table above, the figures in this section come from the Oracle FY2026 Form 10-K.

3. Enterprise-to-equity bridge check

The bridge identity is:

```
Equity value = Enterprise value - debt - other debt-like claims + cash + non-operating investments
```

Using only Oracle's disclosed cash and gross principal debt, the preliminary adjustment is:

```
Equity value = Enterprise value - $130,105m + $31,289m = Enterprise value - $98,816m
```

If the $605 million of marketable securities is confirmed to be non-operating and included as cash-like, the adjustment becomes:

```
Equity value = Enterprise value - $130,105m + $31,289m + $605m = Enterprise value - $98,211m
```

This arithmetic verifies the direction of the bridge: debt lowers equity value and cash/non-operating investments raise it. The separate synthetic example used in class cannot be reproduced from the materials in this folder because its enterprise value, cash, debt, and other-claim inputs were not provided; no class answer is invented here.

4. Decision, user, company, valuation date, and initial thesis

- **Decision:** Whether to initiate a position in Oracle common stock now, continue researching it, or decline it.
- **Decision user:** A long-term public-equity investor who cares about per-share intrinsic value and downside risk, not merely revenue growth.
- **Company:** Oracle Corporation (ORCL).
- **Valuation date:** September 1, 2026. The financial-statement evidence date is May 31, 2026, and the latest disclosed common-share count date is June 12, 2026. Market price and intervening developments must be refreshed before any final recommendation.
- **Initial thesis: Watch/defer.** Oracle's cloud-infrastructure growth is strong enough to justify continued work, but the current evidence is insufficient to initiate. The decisive tension is between rapid cloud growth and the large capital expenditures and additional borrowings needed to support it. I would initiate only if a valuation using current market data shows an adequate margin of safety under conservative utilization, margin, and reinvestment assumptions.

5. Known evidence, consequential assumptions, and unknowns

Known evidence

- Oracle generated $67,357 million of fiscal 2026 revenue, including $18,101 million of cloud-infrastructure revenue.
- Operating cash flow was $31,977 million, capital expenditures were $55,663 million, and free cash flow was negative $23,686 million.
- Cash and cash equivalents were $31,289 million; gross principal payments for all borrowings totaled $130,105 million.
- Fiscal 2026 diluted weighted-average shares were 2,914 million, and diluted EPS attributable to common shareholders was $5.83.
- The 10-K states that Oracle expects the upward capital-expenditure trend to continue in fiscal 2027 and following years as it expands data-center capacity.

Consequential assumptions

- Cloud-infrastructure demand remains durable rather than reflecting a temporary AI-capacity shortage.
- New data centers achieve sufficient utilization and pricing to earn returns above Oracle's cost of capital.
- Cloud margins improve enough to offset depreciation, power, financing, and operating costs associated with the infrastructure buildout.
- Oracle can refinance or repay debt without materially impairing common-equity value.
- Stock-based compensation and other dilution remain manageable on a per-share basis.

Unknowns

- ORCL's current share price, market capitalization, and enterprise value on the valuation date.
- The amount and timing of contracted cloud backlog converting to recognized revenue and cash flow.
- Normalized maintenance capital expenditure versus growth capital expenditure.
- Incremental returns on the fiscal 2026-2027 data-center investment cycle.
- Customer concentration, contract cancellation protections, power availability, and data-center utilization.
- A fully adjusted net-debt figure that reconciles carrying values, principal, leases, preferred stock, and other debt-like or non-operating items.
- The normalized diluted share count after considering unvested awards, options, performance awards, and mandatory convertible preferred stock.

6. Research plan

1. Refresh ORCL's share price and calculate market capitalization and enterprise value as of the valuation date.

2. Reconcile every enterprise-to-equity bridge item from the debt, leases, investments, preferred-stock, and stock-compensation notes.
3. Review the newest earnings release, earnings call, and any post-10-K 8-K filings for guidance, contracted backlog, capital spending, and financing changes.
4. Build base, bull, and bear forecasts for cloud-infrastructure revenue, utilization, operating margin, depreciation, capital expenditures, and free cash flow.
5. Estimate return on incremental invested capital from the data-center buildout and compare it with Oracle's weighted-average cost of capital.
6. Value Oracle with a discounted-cash-flow model and cross-check it against peer multiples on revenue, EBIT, and free cash flow.
7. Stress-test slower AI demand, price competition, project delays, higher power costs, higher interest expense, and additional dilution.
8. Initiate only if the conservative per-share value offers an adequate margin of safety; otherwise retain the company on the watch list.

7. Partner-generated falsification question

What observable evidence would show that Oracle's accelerating cloud-infrastructure revenue is failing to earn an adequate return on the debt-funded data-center capital required to produce it?

This question is intentionally left unanswered for the author to investigate.

Project 1 | Edition B - AI-assisted research evolution

Company: Oracle Corporation (ORCL) | **Security:** common equity | **Prepared:** October 19, 2026
Decision user: Buy-side investment committee, assumed to hold no Oracle position.
Action: WATCH / DEFER. No new position from the unverified DCF diagnostic. All figures are educational estimates, not investment advice.

Decision evolution

Edition A (original source dated September 3, 2026): I identified cloud-infrastructure growth as the opportunity and large capital spending, debt, dilution and data-center returns as the risks. My original recommendation was **watch/defer**, pending a dated price, complete equity bridge and adequate margin of safety. The valuation setup relied on Oracle's FY2026 Form 10-K and a September 1 intended valuation date; it did not produce a defensible final intrinsic price.

Subsequent investigation: I built an illustrative FCFF DCF (Lab 06), compared Microsoft and Salesforce using a dated September 10 P/E peer policy (Lab 08), and developed a five-year three-statement Oracle forecast (Lab 10). Lab 11 retained both passing and failing financing stress cases and documented an independently authored prediction before its historical growth test; partner Aidan Murrin questioned revenue-growth assumptions. In Lab 12, Nicole Yu's questions focused on whether cloud spending could be financed and converted into cash flow. These earlier reference values are dated and model-dependent; they cannot be averaged into a final estimate.

AI-assisted revisions: Rev 1 links *signed* FCFF to the statements and preserves negative early cash flows. Rev 2 reconciles Oracle's subsequently reported August 31, 2026 Form 10-Q. Rev 3 models only the remaining nine months of FY2027 and the next four full fiscal years. Rev 4 isolates unrestricted versus restricted cash and financing claims. The final workbench exposes bounded drivers, restoring the base, a deliberately failing check, twelve software tests, and visible scenario output. The AI role was code/reconciliation/drafting support, not a substitute for analyst judgment.

What I learned and what remains unresolved

The refreshed forecast retains about **negative $31.65 billion** in FCFF during FY2027's remaining nine months and **negative $8.72 billion** in FY2028. Under **illustrative** assumptions of 11.4% WACC and 3.0% terminal growth, the calculated **$57.72/share** is only a *diagnostic*: **95.8%** of enterprise value arises from the terminal value. Oracle's financing constraints fail when FY2028 capex is raised 10% with other revenue drivers held fixed; this invalid scenario is not assigned a stock value. Revenue-growth and margin sensitivities matter, but neither demonstrates that the terminal forecast is achievable.

My initial **watch/defer** call therefore **does not change**. The reason is more specific: to justify initiation I need sourced costs of capital, credible FY2032 replacement/growth spending, time-consistent updated financials, durable cash generation from cloud capacity, and reconciled dilution and debt claims. The original Edition A question -- whether debt-funded data centers earn adequate returns -- remains a priority research test, not a question this model can yet answer reliably.

Evidence and attribution

- **Original independent baseline:** `Project_1_Edition_A_ORCL.md` is preserved byte-for-byte (SHA-256: `f5a7443624ddd7bec59e5f65fd702e2f62c828b850cff2249c0caba84ef9e6af`), recovered from the user's prior file library. Its *text* is rendered in the accompanying PDF. The original Brightspace-submitted PDF and its first submission receipt have not been independently verified.
- **Source records:** Oracle FY2026 10-K and FY2027 Q1 10-Q, in `docs/source-ledger.md`. Historical course work: Lab 8, Lab 11, Lab 12.
- **Human review required:** The committee action and this research interpretation must be read, challenged, and approved by the student. Do not label software tests or unverified market/model assumptions as independent source validation.

Research evolution | Edition A to Edition B evidence

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Evidence anchor	Edition A (September 2026 source)	Edition B (October 19, 2026)	Consequence for decision
Committee action	**WATCH/DEFER**, no initiation until conservative model offers safety	**WATCH/DEFER**, no initiation using current diagnostic	**No change**; more quantified uncertainty, not a reversed opinion
Business opportunity	FY2026 cloud-infrastructure revenue $18.101bn, +~76.9% year-over-year	Five-period forecast tests cloud growth and cash conversion	Growth remains thesis, not an automatic increase in value
Capital risk	FY2026 CapEx $55.663bn; FY2026 FCF -$23.686bn	FY2027 remaining-quarter FCFF -$31.645bn; FY2028 -$8.720bn modeled	Sustained spending is the central risk
Financing / dilution	May 31 cash $31.289bn, debt principal $130.105bn, share dilution unresolved	August 31 Q1 balances; separated restricted cash, debt, finance leases, preferred and NCI; debt claims remain reviewable	Added bridge transparency; fully diluted shares still unresolved
Valuation methodology	Outline of proposed five-year DCF and comparables, no price target	Linked three-statement FCFF and EV/equity bridge; dated P/E and EV/revenue peers	Several independently dated methods, **not** an average
Terminal valuation	Maintenance/growth spending and cost of capital named unknowns	Provisional $57.72/share diagnostic uses 11.4% WACC, 3% g; **95.8%** enterprise value terminal	**Cannot defend price target** from this alone
Falsification	Ask whether debt-funded data centers earn adequate returns	CapEx +10% scenario fails cash financing; growth scenario directionally raises income	Funding risk exposed; actual returns on invested capital still unverified
Validation / AI	Planned filing and financial bridge checks; Edition A intended AI-closed	Independent model checks, twelve code tests, historical Lab 11 locked prediction, disclosed AI help	Explain test scope; do not claim independent judgement was replaced

Dated correction addendum (October 19, 2026)

The initial edition used FY2026 reported annual figures and a proposed September 1 valuation date. Subsequent models added Oracle's Q1 FY2027 10-Q, with statement balances at August 31, 2026, and an October 19 market-price reference. **These dates cannot be treated as identical.** Earlier laboratory share values ($151.01, $74.80), the current illustrative $57.72/share, and September 10 peer P/E reference ($159.94-$181.63) use different assumptions, definitions, or observation dates. None is automatically a dated buy/sell price target. This is a transparent correction to later analysis, not a change to Edition A.

Required provenance checks

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